February 5, 2025

Representative Cindy Ryu, Chairperson
Technology, Economic Development,
& Veterans Committee
303 John L. O'Brien Building
P.O. Box 40600
Olympia, WA 98504

Representative Shelley Kloba, Vice Chairperson
Technology, Economic Development,
& Veterans Committee
132A Legislative Building
P.O. Box 40600
Olympia, WA 98504

RE: Letter in Opposition to Washington HB 1671

Dear Chairperson Ryu and Vice Chairperson Kloba:

On behalf of the advertising industry, we write to oppose Washington HB 1671.[1] We provide this letter to offer our non-exhaustive list of concerns about this bill. Our organizations support meaningful privacy protections for Washingtonians. As described in more detail below, the bill contains provisions that are out-of-step with privacy laws in other states and will only add to the increasingly complex privacy landscape for both businesses and consumers across the country. We ask you to harmonize HB 1671 with other state privacy laws. Accordingly, we ask you to decline to advance the bill as drafted out of the House Technology, Economic Development and Veterans Committee ("Committee") and to consider updates to enhance the bill to bring it in line with the majority of states that have passed privacy legislation.

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product ("GDP") in 2020.[2] By one estimate, over 225,000 jobs in Washington are related to the ad-subsidized Internet.[3] We would welcome the opportunity to engage with the Committee further on the non-exhaustive list of issues with HB 1671 outlined here.

I. HB 1671 Should Be Harmonized with Existing State Privacy Laws

HB 1671 is based on federal privacy legislation from 2024 that did not undergo a hearing post introduction or a markup. Instead of working from a privacy model that did not have success at a federal level, Washington should focus its efforts on harmonizing HB 1671 with the approach taken in a majority of other states. A patchwork of differing privacy standards across the states would create significant costs for businesses and consumers alike. Efforts to harmonize state privacy legislation

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[1] Washington HB 1671 (2025 Session), located here (hereinafter, "HB 1671").
[2] John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf.
[3] *Id.* at 135-136.

with existing privacy laws are critical to minimizing costs of compliance and fostering similar privacy rights for consumers no matter where they live. Below we provide a non-exhaustive list of ways HB 1671 deviates from the dominant approach to privacy across the states:

- HB 1671's definition of "consumer" could have extraterritorial effect.
- HB 1671's definition of "sensitive data" includes data no other state considers sensitive.
- HB 1671 does not include consumer and business safeguards for opt-out preference signals that have been adopted by every other state that has passed a privacy law that requires adherence to such signals.
- HB 1671 would require consumer consent for *prospective* material changes to practices, contravening longstanding Federal Trade Commission policy of requiring consent only for material changes applied *retroactively* to previously collected personal data.

Compliance costs associated with divergent privacy laws are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 concluded that the initial compliance costs to California firms would be $55 billion.[4] Another recent study found that a consumer data privacy proposal in a different state considering privacy legislation would have generated a direct initial compliance cost of $6.2 billion to $21 billion and ongoing annual compliance costs of $4.6 billion to $12.7 billion for the state.[5] Other studies confirm the staggering costs associated with varying state privacy standards. One report found that state privacy laws could impose out-of-state costs of between $98 billion and $112 billion annually, with costs exceeding $1 trillion dollars over a 10-year period, and with small businesses shouldering a significant portion of the compliance cost burden.[6] Harmonization with existing privacy laws is essential to create an environment where consumers in Washington have privacy protections that are consistent with those in other states, while minimizing unnecessary compliance costs for businesses. Washington should not add to this compliance bill for businesses and should instead opt for an approach to data privacy that is in harmony with already existing state privacy laws.

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[4] *See* State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations*, 11 (Aug. 2019), located at https://dof.ca.gov/wp-content/uploads/sites/352/Forecasting/Economics/Documents/CCPA_Regulations-SRIA-DOF.pdf.

[5] *See* Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida*, 2 (Oct. 2021), located at https://floridataxwatch.org/DesktopModules/EasyDNNNews/DocumentDownload.ashx?portalid=210&moduleid=34407&articleid=19090&documentid=986.

[6] Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located at https://itif.org/publications/2022/01/24/looming-cost-patchwork-state-privacy-laws (finding that small businesses would bear approximately $20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).

II. HB 1671's Approach to Targeted Advertising Would Affect Washingtonians' Access to Internet Resources and Businesses' Ability to Reach Customers

If enacted, HB 1671's proposed approach to "targeted advertising" would be out of step with all other state laws regulating this activity. HB 1671 would define "targeted advertising" in a way that would categorize *any advertisement* delivered based on *any inference* as targeted advertising, unless exempt as "first-party advertising" or "contextual advertising."[7] If HB 1671 is enacted, Washington businesses would be significantly hindered in their efforts to reach potential consumers, and Washingtonians would become subject to entirely different Internet experiences than residents of neighboring states, such as California and Oregon. In addition, while HB 1671 would exempt "first-party advertising" from the broader definition of targeted advertising, it would define the term in an extremely limited way such that certain first-party advertising activity would become "targeted advertising" subject to strict restrictions.[8] The limited definition of the term could result in preventing even the most basic of data enhancements, such as limiting businesses from correcting postal addresses that the businesses have directly collected from consumers for mailers, thus impacting direct marketing efforts. Data enhancement services are often essential for ensuring accuracy, reducing errors, and improving the effectiveness advertising campaigns. Without the ability to enhance first-party data, businesses, particularly small businesses, may face increased costs and inefficiencies, leading to less effective marketing efforts and increased costs on consumers. The definition of the term "targeted advertising" in HB 1671 should be updated so it aligns with other state definitions.

III. Online Activity Data Should Be Allowed for Use in Targeted Advertising and First-Party Advertising

HB 1671 proposes a novel definition of "sensitive data" that includes online activity data, or information about an individual's online activities over time.[9] The bill would strictly prohibit the use of all sensitive data, including online activity data, for targeted advertising and first-party advertising.[10] This approach, however, fails to recognize that online activity data is necessary for targeted advertising. Thus, while the bill would permit targeted advertising, it would ban the use of the very data that drives targeted advertising. By banning the use of online activity data for targeted advertising while simultaneously permitting targeted advertising subject to a consumer opt-out right, the bill proposes a confusing approach to targeted advertising that would have a chilling effect on commerce. No other state that has enacted an omnibus privacy law has taken this approach.

Online activity data should not be considered sensitive when used for an advertising purpose. Use of online activity data to deliver targeted advertising and first-party advertising is permitted on an opt out basis in virtually every other state's privacy law. Furthermore, the use of data to deliver truthful, relevant advertising is protected by the First Amendment. The First Amendment protects both

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[7] HB 1671 at § 1(33).
[8] *Id.* at § 1(9), (15), (33).
[9] *Id.* at § 1(32)(g).
[10] *Id.* at § 6(1)(c).

businesses in their right to free expression and individuals in their right to receive accurate information through advertising.[11] Washington should not advance an approach to privacy that may run afoul of bedrock constitutional protections when other workable approaches to governing sensitive data processing are used across several states.

IV. Overly Restrictive Limitations on Data Processing Would Stifle the Economy

HB 1671 includes data minimization terms that would limit processing of personal data to only that which is "strictly necessary" to provide or maintain a product or service or deliver a reasonably anticipated communication that is not an advertisement. These overly restrictive limitations on data processing would impede business' ability to benefit consumers and to enrich the availability of goods and services in the economy. The proposed data minimization terms could impose significant limitations on the use of personal data for developing new technologies, providing pertinent messaging and advertising to consumers, and creating cost-effective and efficient services.

The vast majority of states that have passed a data privacy law permit businesses to process personal data as reasonably necessary and proportionate to achieve the purposes for which the personal information was collected, as disclosed to the consumer.[12] HB 1671's data minimization approach would contradict this reasonable, majority approach, thereby subjecting Washington consumers to fewer benefits of data processing than their counterparts in nearby states and other parts of the country. Washington should take steps to align HB 1671's data minimization terms with other states instead of adopting an onerous and untested approach to data use that could disadvantage Washington consumers and businesses.

V. A Private Right of Action Is an Inappropriate Form of Enforcement for Privacy Legislation

As presently drafted, HB 1671 allows a consumer to seek a remedy under Washington's unfair business practices statute with no explicit statement that the bill does not permit private litigants to bring lawsuits.[13] HB 1671 should be updated to clarify that it does not create a private right of action under any law. We strongly believe private rights of action should have no place in privacy legislation. Instead, enforcement should be vested with the Attorney General ("AG") alone, because such an enforcement structure would lead to stronger outcomes for Washington residents while better enabling businesses to allocate resources to developing processes, procedures, and plans to facilitate compliance with new data privacy requirements. AG enforcement, instead of a private right of action, is in the best interests of consumers and businesses alike.

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[11] *Virginia State Board of Pharmacy v. Virginia Citizens Consumer Council, Inc.*, 425 U.S. 748, 756-67 (1976); *Sorrell et. Al. v. IMS Health Inc.*, 564 U.S. 552, 570-71 (2011).
[12] *See, e.g.,* Cal. Civ. Code § 1798.100(c); Conn. Gen. Stat. § 42-524(f).
[13] HB 1671 § 12.

The possibility of a private right of action in HB 1671 would create a complex and flawed compliance system without tangible privacy benefits for consumers. Allowing private actions will flood Washington's courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm.[14] Private right of action provisions are completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices.

Additionally, a private right of action would have a chilling effect on the state's economy by creating the threat of steep penalties for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions and related potential penalties for violations represent an overly punitive scheme that do not effectively address consumer privacy concerns or deter undesired business conduct. They expose businesses to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. A private right of action would also encumber businesses' attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced they are without merit.[15]

Beyond the staggering cost to Washington businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, the possibility of a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage the Committee to clarify that HB 1671 does not create a private right of action under any law and vests enforcement authority with the AG alone.

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[14] A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act ("TCPA") showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located here.

[15] For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation* at 8 (2003), located here. Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*

We and our members strongly support meaningful privacy protections for consumers. We believe, however, that HB 1671 would impose particularly onerous requirements that would unreasonably restrict the free flow of information that powers the economy and Washington residents' access to resources. We therefore respectfully ask the Committee to decline to advance HB 1671 as proposed and would welcome the opportunity to engage further and work with you to craft a workable privacy framework that benefits Washington businesses and consumers alike.

Thank you in advance for your consideration of this letter.

Sincerely,

Christopher Oswald
EVP for Law, Ethics & Govt. Relations
Association of National Advertisers
202-296-1883

Alison Pepper
EVP, Government Relations & Sustainability
American Association of Advertising Agencies, 4As
202-355-4564

Lartease Tiffith
Executive Vice President, Public Policy
Interactive Advertising Bureau
212-380-4700

Clark Rector
Executive VP-Government Affairs
American Advertising Federation
202-898-0089

Lou Mastria, CIPP, CISSP
Executive Director
Digital Advertising Alliance
347-770-0322

CC: Mike Signorelli, Venable LLP
Allie Monticollo, Venable LLP
Matthew Stern, Venable LLP